

Tamilnadu 2017

Grade 12

PART - III

Accountancy

Time allowed: 3 Hours

Maximum Marks: 200

Instructions:

- (1) Check the question paper for fairness of printing. If there is any lack of fairness, inform the Hall Supervisor immediately.
- (2) Use **Blue** or **Black** ink to write and underline and pencil to draw diagrams.

PART – A

Note: Answer **all** the questions.

[30 x 1 = 30]

I. Fill in the blanks.

1. Closing stock is valued at cost price or _____ price whichever is lower.
2. Provision for discount on creditors is deducted from _____ in the balance sheet.

3. The trial balance shows a Bank loan Rs. 5,00,000 at 12% interest on 1.4.2013. Interest paid is Rs. 30,000. Interest outstanding is Rs. _____ on 31.3.2014.
4. Cash budget is useful tool for _____.
5. A statement of affairs resembles as a _____.
6. Goodwill is an _____ asset.
7. If the selling price of a machinery is Rs. 4,00,000 and profit on sale is Rs. 36,000, the book value of the machinery is Rs. _____.
8. _____ method of depreciation is used in the case of lease.
9. The opening stock and the closing stock are Rs. 33,000 and Rs. 17,000 respectively. The average stock is _____.
10. When the value of liabilities increases, it results in _____.
11. Undistributed Profit will appear on the _____ side of the balance sheet.
12. Cash budget is also called as _____.
13. _____ ratio measures the firm's ability to pay off its current dues.

14. There should be a gap of _____ between two calls.

15. A company issued 1,00,000 shares of Rs.10 each to the public but only 70,000 shares were subscribed. Its subscribed capital is Rs._____.

II. Choose the most suitable answer from the given three alternatives and write the option code and the corresponding answer. .

16. Rent outstanding is:

- (a) a liability
- (b) an asset
- (c) an income

17. Interest on drawings is deducted from:

- (a) Income Account
- (b) Capital Account
- (c) Expense Account

18. Gross profit is transferred to:

- (a) capital account
- (b) profit and loss account
- (c) none of these

19. Credit sales is obtained from:

- (a) bills payable account
- (b) total debtors account
- (c) total creditors account

20. Total amount of depreciation provided on the written down value method at the rate of 10% per annum on Rs. 10,000 for first years will be:

- (a) Rs. 2,107
- (b) Rs. 2,710
- (c) Rs. 2,701

21. If current assets of a business concern is Rs. 80,000 and current liabilities are Rs. 40,000, then the current ratio will be:

- (a) 1:2
- (b) 1:1
- (c) 2:1

22. Budget is expressed in terms of:

- (a) money
- (b) physical units
- (c) money and physical units

23. Under fixed capital method salary payable to a partner is recorded:

- (a) in current account
- (b) in capital account
- (c) either in current account or capital account

24. The maximum calls that a company can make is:

- (a) one
- (b) two
- (c) three

25. At the time of retirement of a partner the difference between New Profit ratio and Old Profit ratio is _____ ratio.

- (a) Gaining
- (b) Capital
- (c) Sacrifice

26. _____ is calculated at the time of admission of a new partner.

- (a) Gaining ratio
- (b) Capital ratio
- (c) Sacrificing ratio

27. The amount credited to share forfeited account is Rs. 700. The loss on reissue of forfeited shares is Rs. 200. Capital Reserve will be:

- (a) Rs. 400
- (b) Rs. 500
- (a) Rs. 300

28. Creditors on 1.1.2010 is Rs. 1,21,000 and on 31.12.2010 is Rs. 1,30,000. Cash paid to creditors during the year is Rs. 2,09,000 then the credit purchases during the year is:

- (a) Rs. 2,00,000
- (b) Rs. 2,09,000
- (c) Rs. 2,18,000

29. Depreciation arises due to:

- (a) Wear and tear of the asset
- (b) Fall in the market value of asset
- (c) Fall in the value of money

30. When shares are forfeited the share capital of the company will:

- (a) remain same
- (b) reduce
- (c) increase

PART – B

Note: (i) Answer any 10 questions.

[10 x 5 = 50]

(ii) Answer to theory questions should not exceed 50 words each.

31. What is accrued income?

32. Give 5 examples for cash receipts?

33. Define single entry system.

34. Write notes on revaluation method of depreciation

35. What is forfeited of shares?

36. What is super profit?

37. Define Ratio.

38. Give adjusting entry and transfer entry for Depreciation on machinery Rs. 25,000.

39. What shall be the profit of the concern if:

Opening capital	Rs. 1,60,000
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Closing capital	Rs. 1,80,000
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Drawings	Rs. 36,000
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Additional capital	Rs. 10,000
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40. From the following particulars, find out the rate of depreciation under straight line method.

Cost of assets	Rs. 1,00,000
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Residual value	Rs. 10,000
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Estimated life	10 years
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41. Calculate fixed assets Turnover Ratio:

Fixed Assets	Rs. 1,00,000
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Depreciation	Rs. 25,000
Sales	Rs. 3,00,000

42. Goodwill is to be valued at three years purchase of four years average profits. The profits for the last 4 years of the firm were:

2001 – Rs. 12,000 ; 2002 – Rs. 18,000

2003 – Rs. 16,000 ; 2004 – Rs. 14,000

43. Saradha and Sandhiva were sharing profits in the ratio 4:3. Sofia was admitted with $\frac{1}{5}$ th share in profits of business. Calculate the new profit ratio.

44. Pandian Ltd. issued 1,000 shares of Rs. 100 each @ a premium of Rs. 20 per share. Pass Journal entry.

PART – C

Note: (i) Answer any five questions including question number 45 which is compulsory.

(ii) Answer to theory questions should not exceed 150 words each.

[10 x 3 = 30]

45. (a) The Trial Balance shows on 31.3.2005, Sundry debtors Rs. 65,000.

Adjustment:

1. Bad debts to be written off Rs. 5,000.

2. Provision for bad and doubtful debts be created at 5%.

3. Provide discount on debtors at 2%.

Pass Adjusting Entries and also show how these items will appear in the final accounts.

OR

(b) Mr. Simon keeps his books by single entry system. His assets and liabilities on 01.01.2005 and 31.12.2005 stood as follows.

	01.01.2005 ₹	31.12.2005 ₹
Cash in hand	20,000	30,000
Sundry Debtors	1,60,000	1,90,000
Investments	40,000	40,000
Furniture	10,000	10,000
Sundry Creditors	1,00,000	1,20,000
Stock	70,000	1,30,000

He introduced an additional capital of Rs. 40,000. He withdrew Rs. 80,000 for domestic purposes. Find out profit or loss for the year 2005.

46. Define depreciation. What are the reasons for providing depreciation?

47. What are the characteristics and advantages of cash budget?

48. Distinguish between fixed capital method and fluctuating capital method.

49. Mohan Manufacturing Company purchased on 1st April 2010 machinery for Rs. 1,95,000 and spent Rs. 5,000 on its installation. After having used it for three years it was sold for Rs. 1,20,000.

Depreciation is to be provided every year at the rate of 10% per annum on the fixed Instalment method.

Prepare machinery account and depreciation account for three years ended on 31st March every year.

50. From the following details, calculate Gross Profit Ratio, Net Profit Ratio and Operating Profit ratio.

	Rs.		Rs.
Sales	2,00,000	Loss on sale of machinery	1,600
Gross Profit	50,000	Interest received	800
Office expenses	1,000	Net profit	32,000
Selling expenses	3,000		

51. Cheran, Pallavan are partners with capitals of Rs. 60,000 and Rs. 20,000 respectively on 1st January 2005. The trading profit (before taking into account the provision of the deed) for the year ended 31st December, 2005 was Rs. 12,000. Interest on capital is to be allowed at 6% per annum. Pallavan is entitled to a salary of Rs. 3,000 per annum. The drawings of the partners were Cheran Rs. 2,000 and Pallavan Rs. 1,000; the interest on drawings for Cheran being Rs. 100 and for Pallavan Rs. 50.

Assuming that Cheran, Pallavan are equal partners, prepare the Profit and Loss Appropriation Account and the partners' capital account, also assuming that the capitals are fluctuating.

52. Selvam Ltd., forfeited 1,000 equity shares of Rs. 10 each fully called upon which final call of Rs. 3 has not been paid. Out of these 800 shares were re-issued at Rs. 8 per share as fully paid up. Give necessary Journal entries and prepare Ledger accounts for Forfeited Shares Account and Capital Reserve Account.

PART – D

Note: Answer any 3 questions including question number 53 which is compulsory. **[3 x 20 = 60]**

(a) From the following information, prepare Trading and Profit and Loss Account and Balance Sheet as on 31.3.2012 of Mr. Amudharasan who keeps his books on incomplete double entry system.

	1.4.2011 ₹	31.3.2012 ₹
Sundry Creditors	37,500	43,750
Furniture	2,500	2,500
Cash	6,250	10,000
Sundry Debtors	62,500	87,500
Stock	25,000	12,500

Other details:	Rs.
Drawings	10,000
Discount received	3,750
Discount allowed	2,500

Cash received from debtors	1,35,000
Cash paid to creditors	1,12,500
Sales Returns	3,750
Purchase Returns	1,250
Sundry expenses paid	8,750
Charge depreciation on furniture at 5% p.a.	

OR

(b) A and B were partners sharing profits in the ratio 3:2. Their Balance Sheet as on 31.3.2012 was as follows:

Liabilities	₹	Assets	₹
Bills payable	75,000	Cash in hand	15,000
Creditors	1,20,000	Stock	30,000
Loans	1,35,000	Debtors	1,50,000
General Reserve	45,000	Machinery	75,000
Capital accounts :		Building	4,50,000
A 3,00,000		Investments	1,00,000
B 2,25,000	5,25,000	Goodwill	80,000
	9,00,000		9,00,000

On 1st April, 2012 they agreed to admit 'C' into the firms for $\frac{1}{5}$ th share of future profits on the following terms:

- 'C' to bring Rs. 1,50,000 as capital
- Goodwill was valued at Rs. 1,00,000
- Depreciate building by Rs. 20,000
- Rs. 30,000 creditors to be written off

Prepare Revaluation Account, Capital Account and the Balance Sheet of the new firm.

54. From the following particulars of Mrs. Kanmani prepare Trading and Profit and Loss Account and Balance Sheet for the year ending 31st March 2004.

Trial Balance		
Particulars	Debit ₹	Credit ₹
Capital		7,50,000
Cash	40,000	
Buildings	4,00,000	
Salary	1,10,000	
Rent and Taxes	21,000	
Opening Stock	1,20,000	
Machinery	1,20,000	
Drawings	40,000	
Purchases	5,00,000	
Sales		7,50,000
Carriage inwards	5,000	
Fuel, Gas	37,000	
Sundry Debtors	2,50,000	
Sundry Creditors		1,20,000
Bills Receivable	53,000	
Dividend		28,000
Loan		60,000
Bad debts	2,000	
Advertisement	16,000	
Commission received		6,000
	17,14,000	17,14,000

Adjustments:

- Closing stock Rs. 1,40,000
- Write off depreciation on buildings at 10% p.a.
- Provide interest on capital at 10% p.a.

(iv) Commission received in advance Rs. 1,000

(v) Prepaid Salary Rs. 10,000

55. From the following Balance Sheet calculate:

Liabilities	Rs.	Assets	Rs.
Share Capital	70,000	Fixed Assets	65,000
Reserves	5,000	Stock	15,000
Loans	37,500	Sundry Debtors	30,000
Creditors	25,000	Bills Receivable	10,000
Bank Overdraft	5,000	Cash	5,000
		Goodwill	17,500
	1,42,000		1,42,500

56. Prepare a cash budget for the month of March, April and May 2005 from the following information.

Month	Credit Sales ₹	Credit Purchases ₹	Wages ₹	Misc. Expenses ₹	Office Expenses ₹
January	60,000	36,000	9,000	4,000	2,000
February	82,000	38,000	8,000	3,000	1,500
March	84,000	33,000	10,000	4,500	2,500
April	78,000	35,000	8,500	3,500	2,000
May	56,000	39,000	9,500	4,000	1,000

Additional information's:

1. Opening cash balance Rs. 8,000.
2. Period of credit allowed to customers one month.
3. Period of credit allowed by suppliers two months.

4. Wages are miscellaneous expenses are payable in same month.
5. Lag in payment of office expenses is one month.

57. Susan Grace Ltd., issued 20,000 shares of Rs. 100 each at Rs. 120 payable as follows:

On Application	Rs. 25
On Allotment	Rs. 45 (including premium Rs. 20)
On First call	Rs. 25
On Final call	Rs. 25

All the shares are fully subscribed. Both the calls were made and all the money were duly received.

Pass Journal Entries. Prepare Bank Account, Share Capital Account, Securities Premium Account and Balance Sheet.